DATA ANALYTICS PORTFOLIO

NEXT Retail

Customer Analytics & RFM Segmentation

From 779K transactions to a clear plan: who to reward, who to win back, and who to welcome.

5,879 customers | 17.37M revenue | 50.84% churn risk

PostgreSQL | Power BI | RFM Analysis

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The dashboard home page

The Business Problem

Why this analysis was needed

The situation

NEXT is a UK-based, online-only retailer of gifts and home decor. A large share of its customers are wholesale buyers.

Leadership had no structured view of which customers drive revenue or which are drifting away. Marketing and retention were reactive, and the same strategy was applied to everyone.

Goal: find the most valuable segments, measure churn risk, and tell marketing what to do with each group.

Questions this project answers

1. Who are our most valuable customers, and how much do they bring in?
2. Which customers have gone quiet and may churn?
3. How do value and retention change over time?
4. How do markets differ in value and churn risk?
5. What should we do for each segment?

779K
cleaned transactions

2 years
Dec 2009 to Dec 2011

5,879
customers scored

3 pages
interactive dashboard

Data: Online Retail II (UCI Machine Learning Repository) | Tools: PostgreSQL, Power BI

How I Built It

From raw transactions to customer segments

1 Clean in SQL

1.07M rows down to 779K: removed duplicates, missing customer IDs, returns and test products.

2 Score with RFM

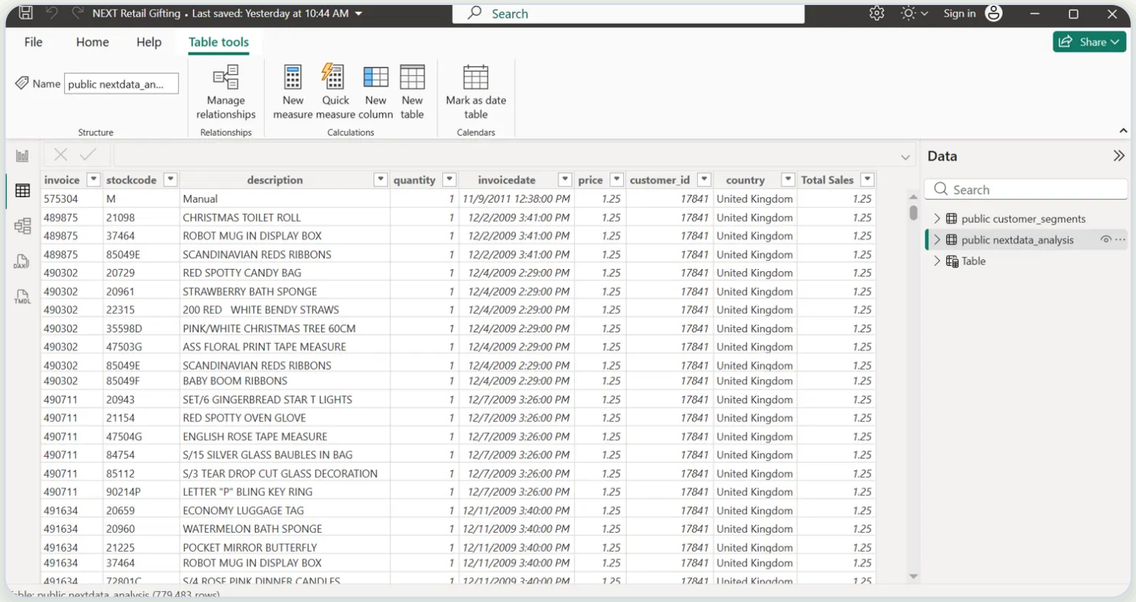
Recency, Frequency and Monetary value for every customer, each scored 1 to 5.

3 Segment & flag churn

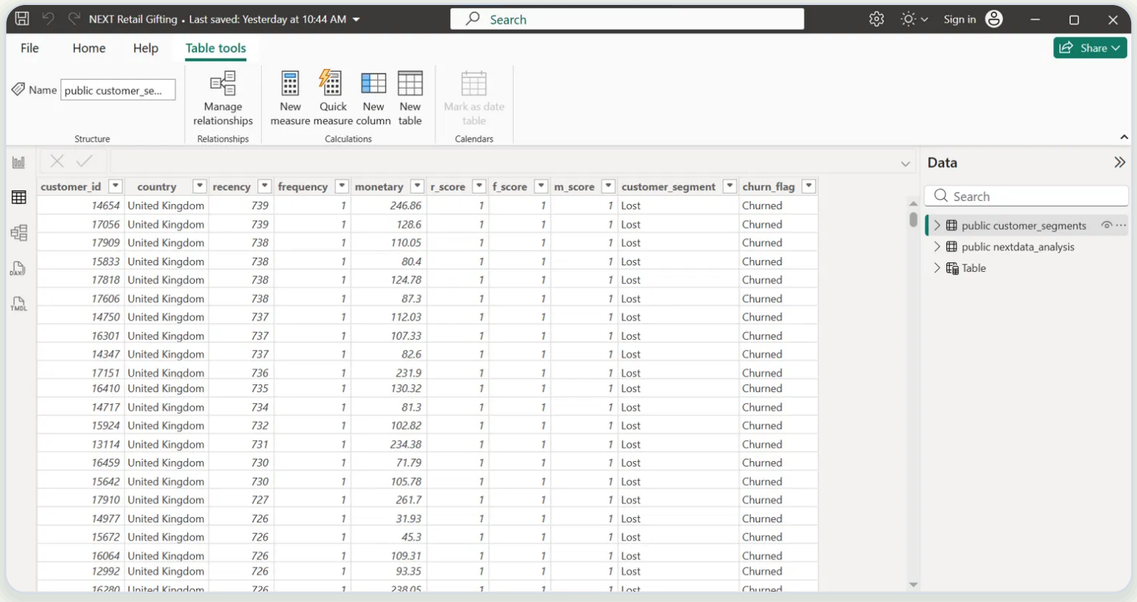
Six segments. Churn = no purchase in the last 90 days.

4 Visualize in Power BI

A 3-page interactive dashboard with slicers for time, country and segment.



Cleaned analysis table (779,483 rows)



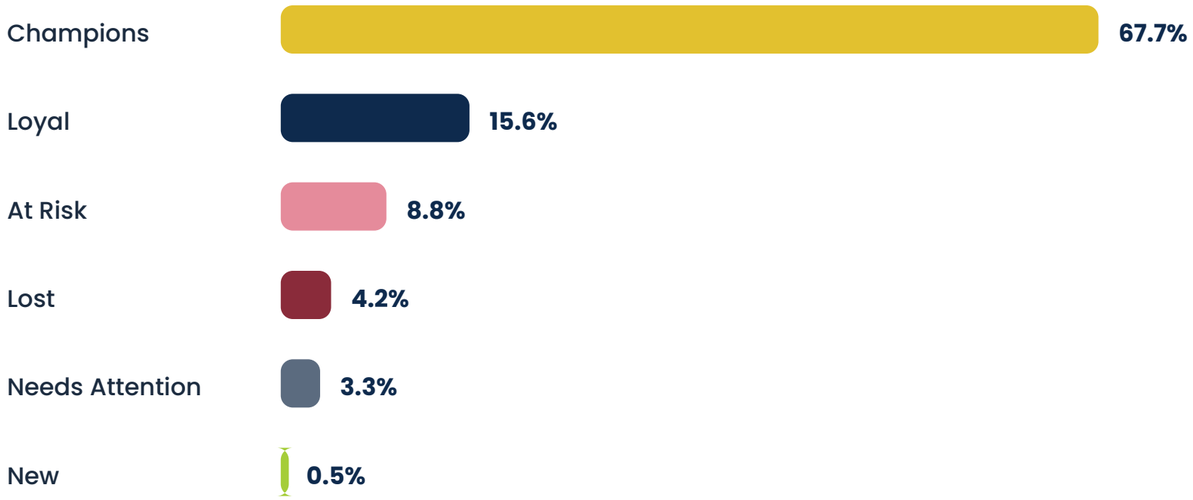
Customer-level RFM output: score, segment and churn flag

Key Insights

What the data says

17.37M	5,879	67.7%	50.84%
Total revenue	Customers	Revenue from Champions	Customers churned (90 days)

Share of revenue by segment



Small group, huge impact

1,265 Champions are 21.5% of customers but bring in 67.7% of revenue.

Half the base has gone quiet

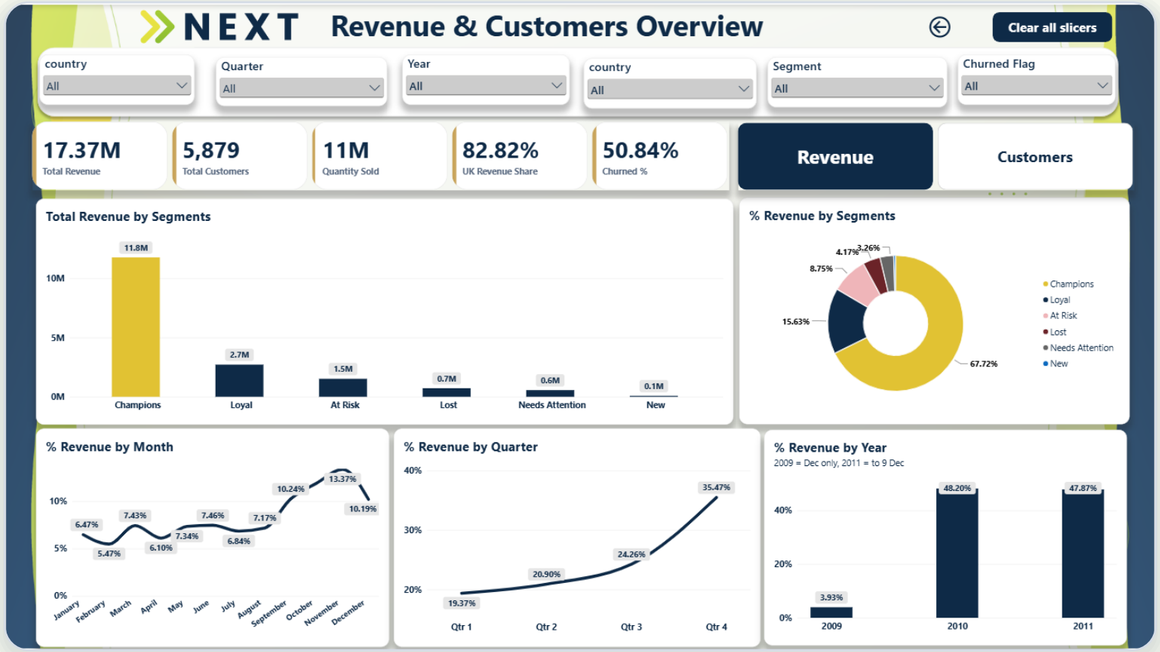
At Risk and Lost are 40% of customers and still hold about 2.25M in lifetime revenue.

A hidden group

About 640 churned customers sit inside Loyal and Needs Attention, so they are easy to miss.

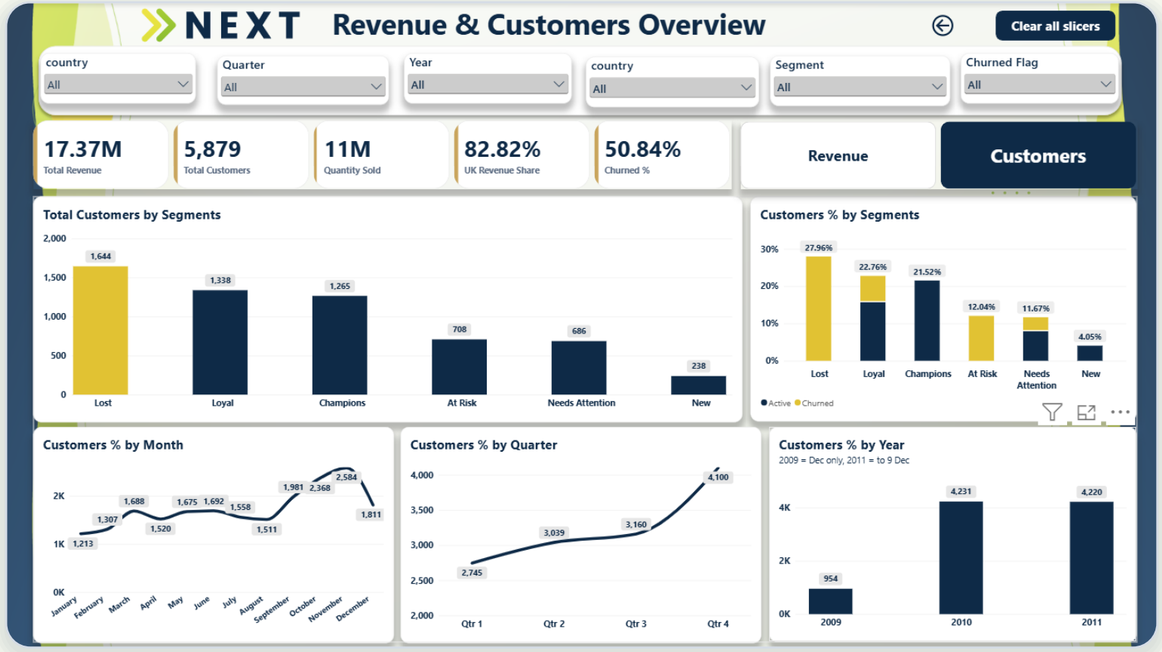
The Dashboard: Revenue & Customers

Toggle between revenue and customer views, filter by time, country, segment and churn



Revenue view

KPIs, revenue by segment, share of revenue, and trends by month, quarter and year.



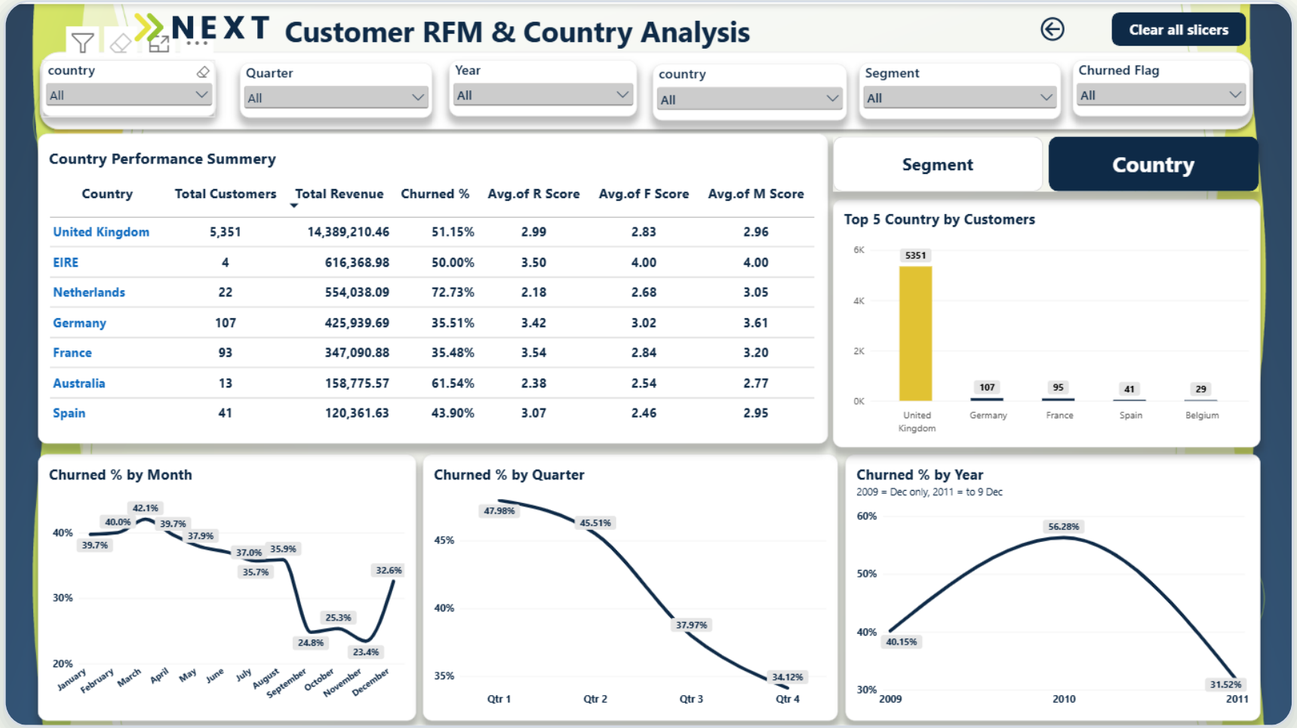
Customers view

Customers by segment, active vs churned split, and customer growth over time.

Takeaway: the business depends on a small, high-value group, so protecting it comes first.

The Dashboard: RFM & Countries

Segment performance and market performance side by side



Country view

Customers, revenue and churn by country, with average R, F and M scores.

Segment	Total Customers	Total Revenue	Churned %	Avg.of R Score	Avg.of F Score	Avg.of M Score
Champions	1,265	11,765,377.61		4.58	4.61	4.65
Loyal	1,338	2,716,443.09	31.09%	3.62	3.57	3.47
At Risk	708	1,521,050.14	100.00%	1.69	3.48	3.39
Lost	1,644	725,082.42	100.00%	1.42	1.31	1.74
Needs Attention	686	566,119.55	32.22%	3.56	1.64	2.15
New	238	80,505.44		4.32	1.00	1.57

Segment performance table

UK 82.8% of revenue

EIRE 4 customers, 616K revenue

Netherlands 22 customers, 72.7% churn

Recommended Actions & Business Decisions

A different plan for each customer segment

Champions

1,265 customers | 67.7% of revenue

ACTION

VIP rewards, early access and thank-you gifts.

DECISION

Protect first. Give the biggest accounts a dedicated contact.

Loyal

1,338 customers | 15.6% of revenue

ACTION

Bundles and repeat-order incentives.

DECISION

Build an upgrade path to Champion and re-engage the ~416 gone quiet.

At Risk

708 customers | 8.8% of revenue

ACTION

Personalised win-back offers and discounts.

DECISION

Act fast. Best win-back return before they become Lost.

Lost

1,644 customers | 4.2% of revenue

ACTION

Low-cost "we miss you" reactivation email.

DECISION

Cap spend, and stop if there is no response.

Needs Attention

686 customers | 3.3% of revenue

ACTION

Targeted offers and product suggestions.

DECISION

Turn occasional buyers into 2nd and 3rd order customers.

New

238 customers | 0.5% of revenue

ACTION

Welcome message and a small gift.

DECISION

Win the second order, where repeat customers are made.

Beyond the Numbers

Limitations, next steps and how I can help

Honest limitations

- Churn and segments both use recency, so At Risk and Lost are 100% churned by design.
- Churn trends fall toward 2011 because recent buyers have not had time to churn.
- Wholesale and retail customers are not separated.

What I would do next

- Separate wholesale and retail.
- Add a revenue-at-risk view.
- Build a predictive churn model.
- Add customer lifetime value.

Want insights like this from your customer data?

I turn raw transactions into segments, dashboards and clear next steps.

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